

B2B RECEIVABLES · REFERENCE

The Cost of Waiting

DSO, receivables risk, and why the timing of placement decides how much of a commercial invoice ever comes back

For a subscription or B2B business, the single biggest lever on how much of a past-due invoice is ever recovered is not how hard you chase — it is how quickly you act. The window between an invoice's due date and the day it is escalated determines what is realistically collectible. This reference explains the mechanics of days-sales-outstanding (DSO), the four kinds of receivables risk that quietly erode cash, how steeply the recovery curve falls with age, and the credit-and-collections discipline that protects a growing finance team from write-offs.

Executive summary

- Most industries target a DSO of **30–60 days**; a rising DSO is the earliest warning that receivables are aging faster than they are collected.
- Recovery falls sharply with age — commonly cited commercial data puts recovery near **70% at 90 days**, about **52% at 180 days**, and roughly **23% at one year**.
- The highest-leverage change most finance teams make is not chasing harder — it is a standing rule to **place accounts at 90 days past due**.
- On pure contingency there is no upfront cost to placing, so the decision is purely about timing.

1. What DSO actually measures

Days sales outstanding is the average number of days it takes your business to collect payment after issuing an invoice. It is the clearest single read on how efficiently revenue you have already earned is converting into cash.

The formula

DSO = (Average Accounts Receivable ÷ Net Credit Sales) × Number of Days in the Period. Most industries target a DSO between **30 and 60 days**; the right number depends on your payment terms and customer base. A DSO drifting well above your terms means receivables are aging faster than they are being collected — and every extra day is working capital you have earned but cannot spend.

2. The four kinds of receivables risk

Aged receivables are not a single problem. Understanding which risk is driving your past-due balance tells you how to respond — and which accounts to place first.

RISK TYPE	WHAT IT IS	TYPICAL WARNING SIGN
Credit-default risk	A customer becomes insolvent and cannot pay at all — e.g. a customer files bankruptcy and a five-figure invoice becomes uncollectible.	Deteriorating customer, missed partial payments, bankruptcy notices.
Late-payment & aging risk	The balance is eventually paid, but far past terms — e.g. 30-day invoices routinely settling at 75 days, forcing you to draw a credit line for payroll.	Rising DSO; a growing 60–90 day aging bucket.
Concentration risk	A few customers represent most of your receivables — e.g. three accounts making up 80% of the outstanding balance.	One slow payer swings the whole AR position.
Operational & compliance risk	Billing errors and disputes delay otherwise-legitimate invoices — e.g. an incorrect PO number triggering weeks of delay.	Repeated “we never got it” and dispute noise on valid invoices.

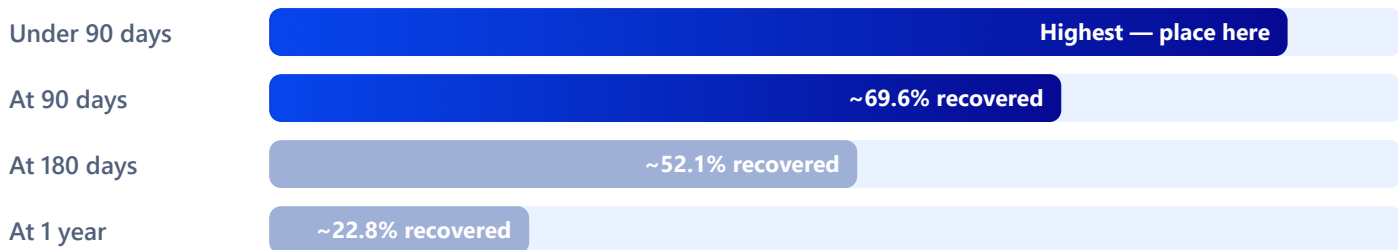
3. The metrics that matter

A short, consistent set of measures turns receivables from a monthly surprise into a managed line. Track these by customer, and review your aging on a fixed cadence so no account quietly slips from 30 to 90 days.

METRIC	WHAT IT TELLS YOU
Days Sales Outstanding (DSO)	Average days to collect after a sale. A rising DSO is your earliest signal to tighten follow-up.
Collection Effectiveness Index (CEI)	The percentage of what was actually available to collect that you did collect in a period — a truer efficiency read than DSO alone.
Aging review	The distribution of AR across 0–30 / 31–60 / 61–90 / 90+ buckets. Watch the 90+ bucket — that is where recovery odds drop fastest.
Bad-debt ratio	Written-off receivables as a share of sales. The number a standing placement policy is designed to shrink.

4. Recovery falls as an invoice ages

A commercial balance is most collectible while it is fresh. As it ages, contact information goes stale, the paying contact moves on, the customer disengages, and your leverage erodes. Widely cited commercial recovery data shows how steep and unforgiving the curve is:



Industry recovery-rate benchmarks (consistent with Commercial Collection Agencies of America findings that collectability falls below roughly 25% after a year). Illustrative and relative — actual recovery varies by account age, balance size, documentation quality and industry. Southwest Recovery Services does not promise a fixed recovery percentage and will give an honest read on a representative sample before any accounts are worked.

5. Why a high DSO quietly damages the business

When DSO climbs, working capital becomes trapped in unpaid receivables — revenue you have booked but cannot deploy. The effect cascades:

- **Cash you have earned is unavailable.** Every dollar sitting in aged AR is a dollar not funding payroll, vendors or growth.
- **Supplier and obligation strain.** Trapped cash makes it harder to pay your own suppliers on time, which can compound into late fees and weaker terms.
- **Missed growth.** Capital locked in receivables is capital not funding expansion, hiring or product.
- **Expensive substitutes.** Businesses with high DSO often reach for short-term financing to cover operations — paying interest to borrow money they are already owed.

6. A proactive collections calendar

The most effective AR teams do not wait for an invoice to feel “very late” before acting. They run a fixed, escalating cadence from before the due date and hand off on a schedule rather than a hunch. The probability of collecting drops significantly after 90 days — so the calendar is built to escalate well before then.

TIMING	ACTION	PURPOSE
5 days before due	Courtesy email reminder	Confirm the invoice is received and scheduled; surface disputes early.
3 days past due	Phone call	A human touch resolves most simple oversights before they age.
7–15 days past due	AR specialist contact + formal notice	Direct, documented follow-up from a named owner; an escalating written record.
45–60 days past due	Firmer formal notice	State the overdue status plainly and set expectations for referral.
60–90 days past due	Demand letter with deadline	A traceable (certified) demand stating amount, invoice reference and a firm deadline.
90–120 days past due	Professional agency placement	Third-party demand changes the customer’s calculus while recovery odds are still high.

7. Prevention: the credit policy behind a healthy DSO

The cheapest dollar to collect is the one you never let go bad. A written credit policy keeps aging under control before collections is ever needed:

- **Vet customers up front.** Use credit applications, trade references and — for larger limits — commercial credit reports before extending terms.
- **Set explicit limits and terms.** Define credit limits, payment terms and approval steps in writing, and revisit them quarterly.
- **Invoice cleanly and immediately.** Bill on delivery with the PO number, clear terms and multiple payment options; most avoidable disputes start with a sloppy invoice.
- **Incentivize early payment.** A modest early-payment discount (for example, 2% for payment within 10 days) can meaningfully pull DSO in.
- **Offer easy ways to pay.** ACH, cards and structured installment options remove friction for a customer who intends to pay.

The one rule that recovers more: place before 90 days

Placing early does not mean abandoning older accounts — aged balances should still be placed, and on contingency there is no cost to trying. The point is simpler: the sooner an account is escalated, the more comes back. A standing policy to place any account still unpaid at 90 days past due — applied to every customer, not decided case by case — is the highest-leverage change most finance teams can make.

- Place a test batch of fresher accounts to see the model work on your book.
- Place the aged backlog in parallel for skip-traced recovery at no upfront cost.
- Measure recovery by placement age — the gap makes the case for placing earlier, permanently.

8. How Southwest Recovery fits your order-to-cash cycle

- **Pure contingency.** No upfront fees, no retainer, no minimum — you pay only a percentage of what is actually recovered.
- **Low-lift placement.** Upload an AR / aging export from NetSuite, QuickBooks, Stripe or your billing system through a secure portal; we map your columns, so there is no re-keying.
- **Fast start.** Outreach typically begins within 24–48 hours of a documented placement; responsive accounts often show results within 30–45 days of placement.
- **Full visibility.** A live portal dashboard for account status and recovery — the same DSO discipline, extended past your internal steps.

9. Frequently asked questions

When should we place an account?

As a standing rule, at 90 days past due — sooner for an unresponsive new customer, and you may extend for an established client who is actively communicating. Waiting past 90 days trades away recovery for very little upside.

Does placing an account hurt the customer relationship?

Not when it is done professionally. A reputable agency positions itself as a neutral third-party intermediary; firm, documented recovery resolves the balance while keeping the relationship intact — and a past-due customer today can renew tomorrow.

What does it cost if nothing is recovered?

Nothing. On pure contingency you owe a percentage only of what is actually collected; an account that recovers nothing costs you nothing.

Should we keep chasing older accounts ourselves?

Aged accounts are exactly where an agency's skip tracing and persistence earn their keep. Place them in parallel with fresh accounts — there is no upfront cost, and even partial recovery beats a write-off.

Put a number on your window

We will review a representative sample of your past-due accounts and give you an honest, age-based read on what is recoverable — and what a standing 90-day placement rule would add to your cash flow.

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